



NITI Aayog

Strategy for

New India@75

STRATEGY FOR NEW INDIA @ 75

MODULE - 14

14

RAILWAYS

OBJECTIVES



- Increase the speed of infrastructure creation from 7 kms per day to 19 km per day by 2022-23.
- Achieve 100% electrification of broad-gauge track by 2022-23 from the 40% in 2016-17.
- Increase the average speed of freight and mail / express trains to 50 kmph (from about 24 kmph in 2016-17) and 80 kmph (from about 60 kmph) respectively.
- Enhance service delivery, achieving 95% on-time arrivals by 2022-23.
- By 2022-23, the railways should have a freight load of 1,900 million tonnes and improved modal share of 40% of freight movement from the current 33%.

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RAILWAYS

PRESENT SCENARIO

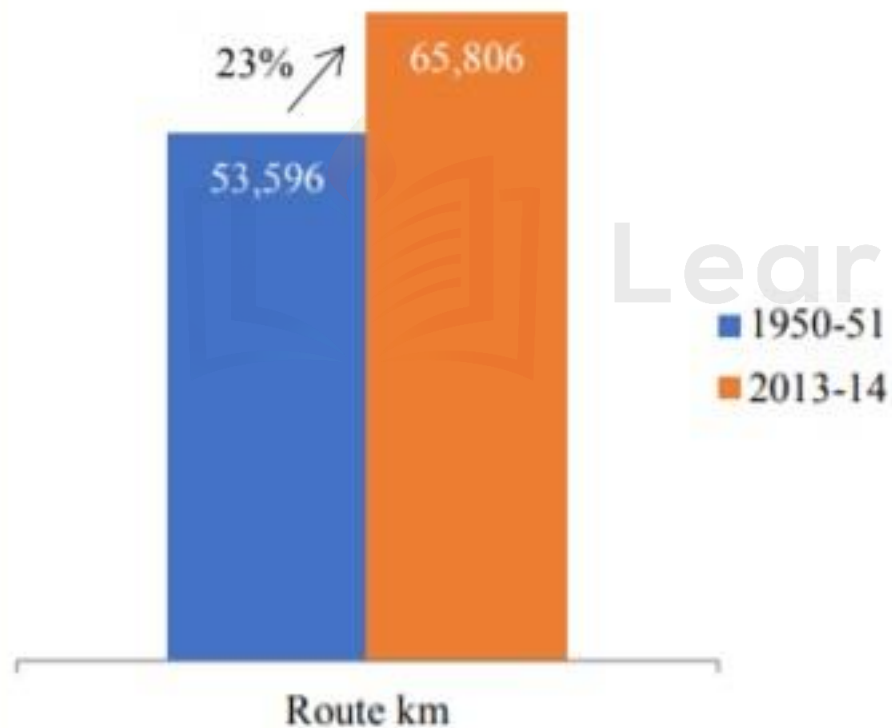


- Indian Railways is the fourth largest network in the World in terms of route kms.
- It is also the largest passenger and fourth largest freight transporting railway system globally.
- During FY07- FY17, railways' revenue increased at a CAGR of 5.7% to \$ 25 bn.
- The modal share of railways in the transportation of surface freight declined from 86% in 1950-51 to 33% in 2015.
- It is due to shortfall in carrying capacity and lack of price competitiveness.
- Golden quadrilateral and its diagonals make up only 15% of the total route of the railways but it transports 52% of passenger traffic and 58% of total freight load.

नीति आयोग
NITI Aayog

Growth of Indian Railways, 1950-51 to 2013-14

A: Route Km Increase Over Time



B: Passenger Km Increase Over Time



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RAILWAYS

CONSTRAINTS

- 6 Lack of scale economies, especially impact management quality and system accountability.
- 5 Poor terminal facilities lengthen loading and unloading times.
- 4 There are issues pertaining to safety of operations.



- 1 Congested networks.
- 2 Organizational structure is leading to delays in decision-making. Inadequate market orientation and long project approval durations are the main problems.
- 3 Internal generation of resources is not up to the mark and cross subsidisation is there.

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RAILWAYS

WAY FORWARD

1

BETTER UTILISATION OF EXISTING
INFRASTRUCTURE

- Prioritize ongoing projects to improve capacity utilization.
- Timely completion of these projects will generate more revenue.
- Ensure that the Dedicated Freight Corridors and the Mumbai-Ahmedabad High Speed Rail are completed on schedule.
- DFCs should be fully commissioned by FY 2019-20.
- Feeder routes to the DFCs should be developed simultaneously.



GUJARAT

Ahmedabad

MADHYA PRADESH

MAHARASHTRA

Mumbai

CHHATTISGARH

TELANGANA

KARNATAKA

GOA

Arabian Sea

Bay of Bengal

Learning Space



AFGHANISTAN

CHINA

PAKISTAN

NEPAL

BANGLADESH

MYANMAR
(BURMA)

Ludhiana

Ambala

Saharanpur

Meerut

Dadri

Rewari

Khurja

Phulera

Ajmer

Marwar

Tundla

Mughalsarai

Palanpur

Allahabad

Sonnagar

Ahmedabad

Surat

Dankuni

JNPT

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RAILWAYS

WAY FORWARD

2

EASE ORGANIZATIONAL RIGIDITY THROUGH
STRUCTURAL REFORMS

- Open up ownership and operations of freight terminals and ownership of locomotives to the private sector.
- Ensure non-railway and fair regulatory mechanism.
- Consider transferring coach and locomotive manufacturing and repairs to private players. IR should have regulatory and technical control over their manufacture and the maintenance.
- Separate suburban passenger transport from the rest of the network.

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RAILWAYS

WAY FORWARD

3

**RATIONALIZE FARE STRUCTURES & SUBSIDIES AND
MONETIZE ASSETS TO GENERATE REVENUES****RAIL
DEVELOPMENT
AUTHORITY**

- Freight tariffs should be competitive with the cost of road transportation.
- Expedite the process of establishing the Rail Development Authority.
- It must advise / make informed decisions on an integrated, transparent and dynamic pricing mechanism to determine rail fares.
- Monetize land resources with the railways.
- Increase retail revenues from railway stations by investing in facilities / modernizing stations.

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RAILWAYS

4

ENHANCE RAILWAY
SAFETY

WAY FORWARD



- Govt. created Rashtriya Rail Sanraksha Kosh in 2017-18, to address safety related issues.
- Increase the use of automatic train protection, fog safety devices etc.
- Eliminate level crossings and cattle crossings and fence railway tracks in areas with high levels of activity.
- Redevelop 100 out of 400 identified railway stations by 2022.

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RAILWAYS

WAY FORWARD

5

ENHANCE EASE OF DOING BUSINESS



- Set up independent homologation (granting of approval by an official authority) and standardization agency, to adopt new railway technology.
- Switch to common transport documents, with an internationally accepted liability regime for domestic and international transportation.
- Use technology to schedule and route freight business to improve asset productivity and utilization.
- Complete by 2022-23, the commissioning of the remaining 55 of the 100 new freight terminals, announced in the Budget, 2016-17 under 'Mission Hundred'.

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RAILWAYS

WAY FORWARD

6

INDEPENDENT REGULATOR FOR THE
INDIAN RAILWAYS

The Regulator's functions should include the following as independent regulator was already announced by Indian Railways in February, 2018.

- Take decisions regarding price regulation and enhancement of non-fare revenue.
- Protect consumer interests, promote competition.
- Help attract investment, promote efficient resource allocation.
- Provide a framework for non-discriminatory open access to the Dedicated Freight Corridors.

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